



ENTRY & EXIT STRATEGY USED BY VCS

SELF PROJECT

Prepared by : Anshul Rathore

What are Venture Capital Firms?

Venture Capital (VC) companies are investment firms that provide funding for startups and other young companies with high growth potential. Unlike bankers, who want to be compensated with collateral and predictable cash flows, VC companies put equity in innovative, but risky, proposals.

These funds provide more than financing. VC companies mentor entrepreneurs, share business experience, and connect them to networks that help grow their businesses. This is typically temporary funding which can take a company to maturity, having it acquired, or going public via an Initial Public Offering (IPO).

Venture capital is a bridge between informal funding at the early stages (friends, family or angel investors) and institutional capital. The sources of compensation for VC firms are primarily management fees and a proportion of profits, known as carried interest. Leading venture capital firms such as Sequoia Capital and SoftBank have helped cement firms such as Google, Flipkart, and Airbnb as global giants.

In summary, venture capital companies serve as engines of innovation by bringing risky but life-changing concepts to a scale that can become viable businesses, fostering economic growth and job opportunity.

Investment Profile

The firm employs a targeted investing strategy that is focused on early and growth-stage companies. The firm typically makes investments ranging from seed to series B and has the ability to invest flexible amounts in order to support business development at vital stages. This enables the firm to engage with ventures where they feel their contribution in capital and guidance ultimately will create somewhere between a significant primary and secondary value.

The firm is particularly interested in the following segments: Technology, health care, fintech, consumer, and sustainability sectors. These segments are recognized for having strong growth expectations and significant disruption potential. Within the above segments, we will prioritize ventures that demonstrate market relevance, innovative business model, and strong founding team.

The firm balances calculated risk and appropriate mechanism of robust due diligence. The firm will use diversification across industry, geography, etc., to limit its exposure to any one investment and look for global opportunities. In addition to being a source of capital, the firm will add value by providing mentorship, supporting governance, and gaining access to its networks to accelerate growth in its portfolio.

Logic of a Deal

The focus of a venture capital deal is on the risk-reward balance between investors and entrepreneurs. A typical deal structure allows investors to receive downside protection and the ability to capture large upside if the company does well. Venture capitalists negotiate terms that give them better rights than ordinary shareholders in order to provide downside protection and upside potential for enhanced returns.

One of the most common terms is liquidation preference, which allows the investor to recover their principal investment amount before common shareholders in the event of a sale, merger, or liquidation. For example, if a VC makes a \$3 million preferred equity investment, that amount must be paid back before any distributions to founders or employees. Deals may also include blocking rights or disproportionate voting rights that give the investor power over a major decision, such as whether to raise additional capital, to approve an acquisition, or to initiate a public offering.

Contracts often include anti-dilution clauses (or ratchets) that ensure investors are protected under a future financing event that has a lower overall valuation. In some scenarios, the investor's ownership percentage is preserved even when the company performs poorly. Alternatively, upside provisions allow investors to increase their ownership percentage at a reduced price if the company performs well in order to further enhance their potential

return on investment. In addition to these provisions, there are typically other protective mechanisms that are common in these contexts. For example, drag-along rights and tag-along rights may be used to protect the investor's interests should a sale of shares and/or other acquisitions occur. Together, these mechanisms comprise the “logic of the deal”: capital protection, influence protection and sharing in the upside risk of a successful venture that experiences rapid growth.

Risk Hedging of VC

Venture capital firms mitigate risk by working with others and co-investing in a single company rather than financing the company alone. Generally, a “lead” investor will organize the deal and multiple “followers” will commit smaller amounts to the investment. Even if a lead investor typically uses the same amount of capital overall, it can help to share risks, opportunistically diversify, share due diligence, and decrease the burden for one venture firm to do all the work.

Further, co-investing allows venture capitalists to extend the financing to more ventures since the diversification occurs in a single set of capital. In addition, it gives more legitimacy to the deal with reputable firms being involved, as it shows there is interest from credible partners. Some funds may even prefer to just follow **the** lead firms and rely on them as risk managers and in part for their brand name as well.

Probability of Success

Many people fail to appreciate how low the chances of success really are for any startup. Even for robust startups with great teams, enough funding, and solid products there is always an enormous gap between the startup themselves and ultimately success. All of the gaps must correctly move from start to finish for the startup to be successful. For example, if a startup has an 80% chance of succeeding in management focus, capital, product, sourcing, customer demand, and/or pricing, the startup's chance of overall success is dropped to under 20%. Why? Because failure in any one of the components will immediately eliminate the venture.

The danger is increasingly appeared whenever the associated probability decreases even further. For example, if one of the factors drops to 50%, the actual probability plummets to about 10%. This is an illustration of why many startups fail regardless of their initial promise. Resultantly, VC's are hoping most of the portfolio companies return the capital invested, and the consequences for other failure are total loss.

Yet, overall VC investment strategies assume a proportion of financed companies won't need to be outstandingly successful. Normally, about 10% to 20% of the funded firms is expected to provide excessive returns, enabling the VC to compensate for losses and achieve their overall goal rate of return of 25% to 30%. For

practical purposes, in terms of reputation, a VC often becomes well-known by one or two outsized investments.

Strategy to Make Money

Venture capital firms have a high-risk, high-reward profile. Most of the investments venture capital firms make will return marginal value, but some investments yield significantly greater value. The overall goal of making money is to identify and invest in startups that have the potential to be "winners," while diversifying the risk by having a portfolio of investments and having a structured deal.

A core concept to be mindful of is the "power law" of returns, where a small number of investments are responsible for almost all the profits. The blinded nature of investing in multiple ventures gives VCs a better chance to hit on the few companies that are outliers in growth. These outliers provide the initial investment but multiples to offset the failures of the startups that did not work.

Additionally, VCs design deal structures that drive profitability. Liquidation preferences ensure downside protection; while pro-rata rights and follow-on capital let them increase their position in successful companies at appealing valuations. Upside structures (such as the issuance of warrants or being able to invest again in later funding rounds) allow the VC to capture more value from winning companies.

Additionally, timing is key; profits are typically realized by exits or events including IPOs, acquisition, or a secondary sale. VCs position portfolio companies for tomorrow's exits by advising strength and guiding them along the way, combined with the VC's impact as well as their market acumen and networks, to return capital to investors. Ultimately, the model involves selective investing with disciplined risk management and thoughtful consideration of the exit at the long-term sustainable profits.

Stages of VC Funding

Pre-Seed Stage

- The earliest stage of funding, often provided by founders, family, friends, or angel investors.
- Capital is used for initial product idea validation, basic research, or prototype development.
- Investments are usually small and focus on getting the company “off the ground.”

Seed Stage

- First official round of venture capital financing.
- Funds are directed toward product development, market research, and team building.
- Investors expect proof of concept and initial traction in the target market.

Series A

- Focuses on scaling the business model beyond the prototype.

-
- Capital is used to optimize the product, expand the user base, and establish revenue streams.
 - VCs look for strong market potential and a clear path to profitability.

Series B

- Aimed at expanding market reach and accelerating growth.
- Companies use funds for hiring talent, marketing, infrastructure, and entering new markets.
- Investors expect proven business models and consistent revenue growth.

Series C and Beyond

- Late-stage funding to scale operations globally, acquire other businesses, or prepare for an IPO.
- At this stage, companies are relatively stable and may attract private equity firms or hedge funds.
- Investors seek lower risk and more predictable returns compared to earlier rounds.

Mezzanine / Pre-IPO Stage

- Bridge financing provided just before going public or being acquired.
- Funds are often used to strengthen balance sheets, expand aggressively, or finalize IPO preparations.
- Offers investors the potential for high returns upon exit through IPO or acquisition

How VCs Evaluate Startups: Key Metrics That Matter

Venture capitalists (VCs) look beyond ideas—they focus on data-driven indicators to assess whether a startup is scalable, profitable, and a worthy investment. Here's a refined breakdown of the top KPIs VCs use:

1. Revenue Growth Rate

- **What it is:** Measures how fast a company is growing its sales.
- **Why it matters:** High growth = product-market fit + customer demand.
- **Quick** **Formula:**
$$((\text{Revenue This Period} - \text{Revenue Last Period}) / \text{Revenue Last Period}) \times 100$$
- **Example:**
Revenue grows from \$100K to \$130K = **30% growth rate**

2. Gross Margin

- **What it is:** The % of revenue left after covering product costs (COGS).
 - **Why it matters:** High margins = better scalability + profitability.
 - **Quick** **Formula:**
$$((\text{Revenue} - \text{COGS}) / \text{Revenue}) \times 100$$
 - **Example:**
\$150K revenue, \$90K COGS → **40% margin**
-

3. Customer Acquisition Cost (CAC)

- **What it is:** Average cost to win a new customer.
- **Why it matters:** Lower CAC = more efficient marketing + sales.
- **Quick** **Formula:**
Sales & Marketing Spend / New Customers Acquired
- **Example:**
\$10K to acquire 100 customers → **\$100 CAC**

4. Customer Lifetime Value (CLTV or LTV)

- **What it is:** Total revenue expected from one customer over their lifetime.
- **Why it matters:** High LTV vs CAC = profitable, sustainable business.
- **Quick** **Formula:**
Avg. Customer Revenue × Avg. Customer Lifespan
- **Example:**
\$500/year × 2 years = **\$1000 CLTV**

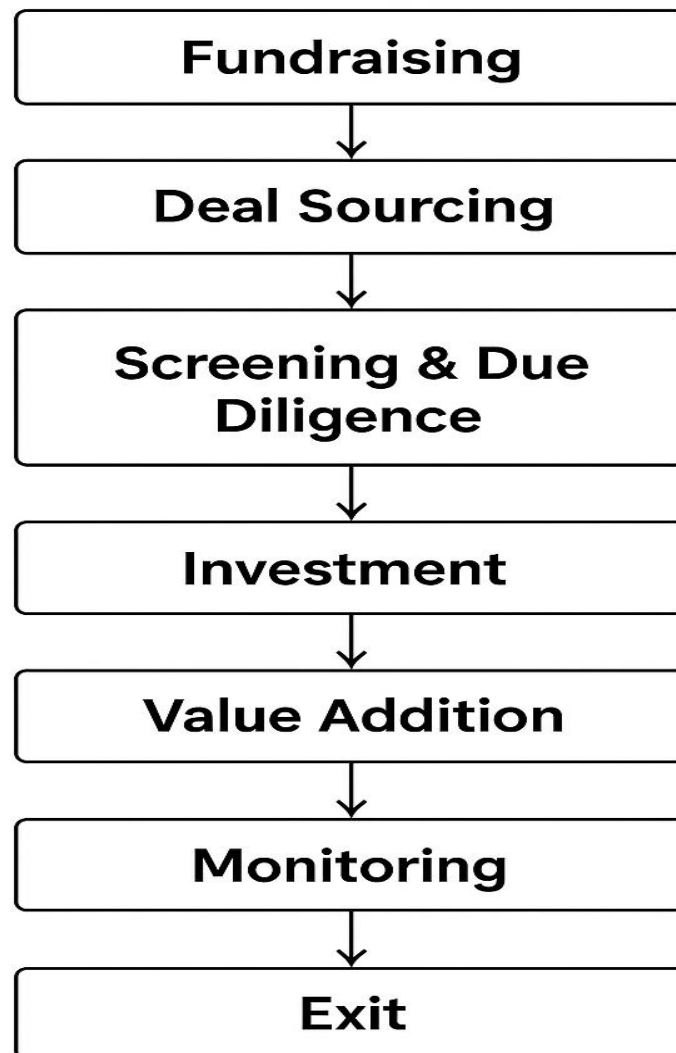
5. Internal Rate of Return (IRR)

- **What it is:** Annualized return a VC expects from an investment.
- **Why it matters:** Reflects potential ROI vs. risk.
- **Example:**
Invest \$100K → Exit at \$500K in 5 years → **~38% IRR**

6. Portfolio Diversity (*VC-specific metric*)

-
- **What it is:** How broadly a VC spreads investments (industries, regions, stages).
 - **Why it matters:** Reduces risk exposure and increases upside potential.
 - **Note:** A diverse portfolio can offset losses from failed startups.

HOW VENTURE CAPITAL FIRMS WORK



CASE STUDY: BYJU'S

In 2011, Byju Raveendran founded Byju's as an offline coaching class before launching the app in 2015. Aimed at transforming learning through digital education, it quickly became India's most valuable edtech startup, riding on VC funding and pandemic-driven demand.

A quick timeline:

2011: Byju's founded as offline coaching institute.

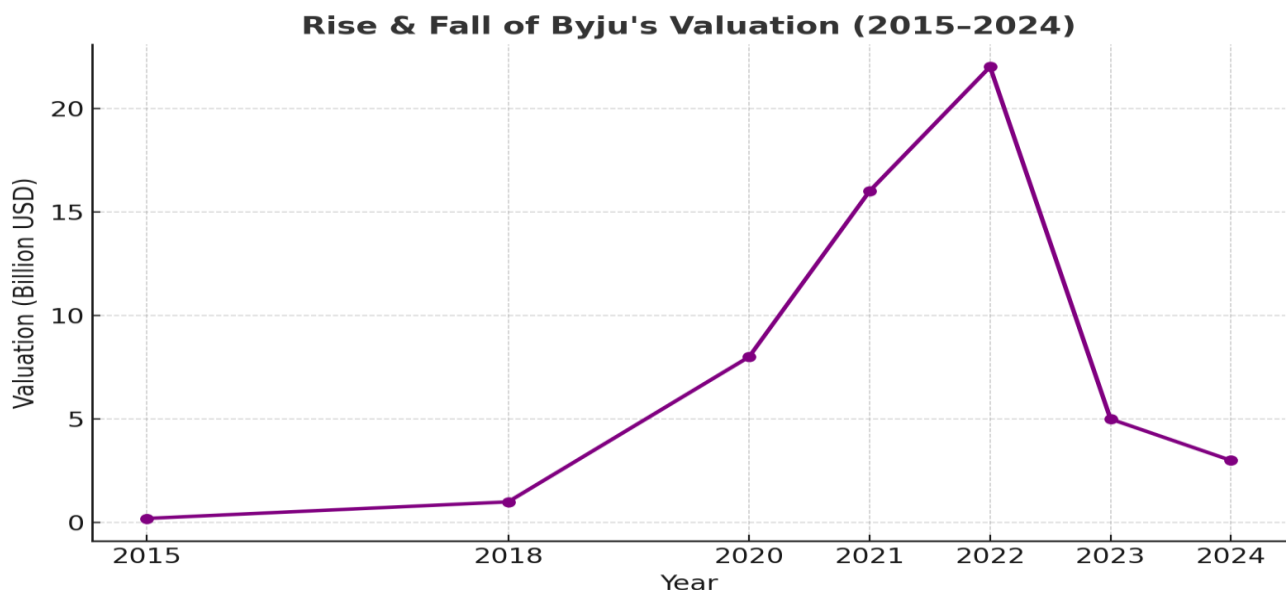
2015: Byju's Learning App officially launches.

2018: Valuation crosses **\$1 billion**; first Indian edtech unicorn.

2020–2021: Pandemic drives growth; valuation surges **100%+ year-on-year**.

2022: Valuation peaks at **\$22 billion**, making it India's most valuable startup.

2023–2024: Losses mount, valuation crashes by **~80%** to **\$3–5 billion**.

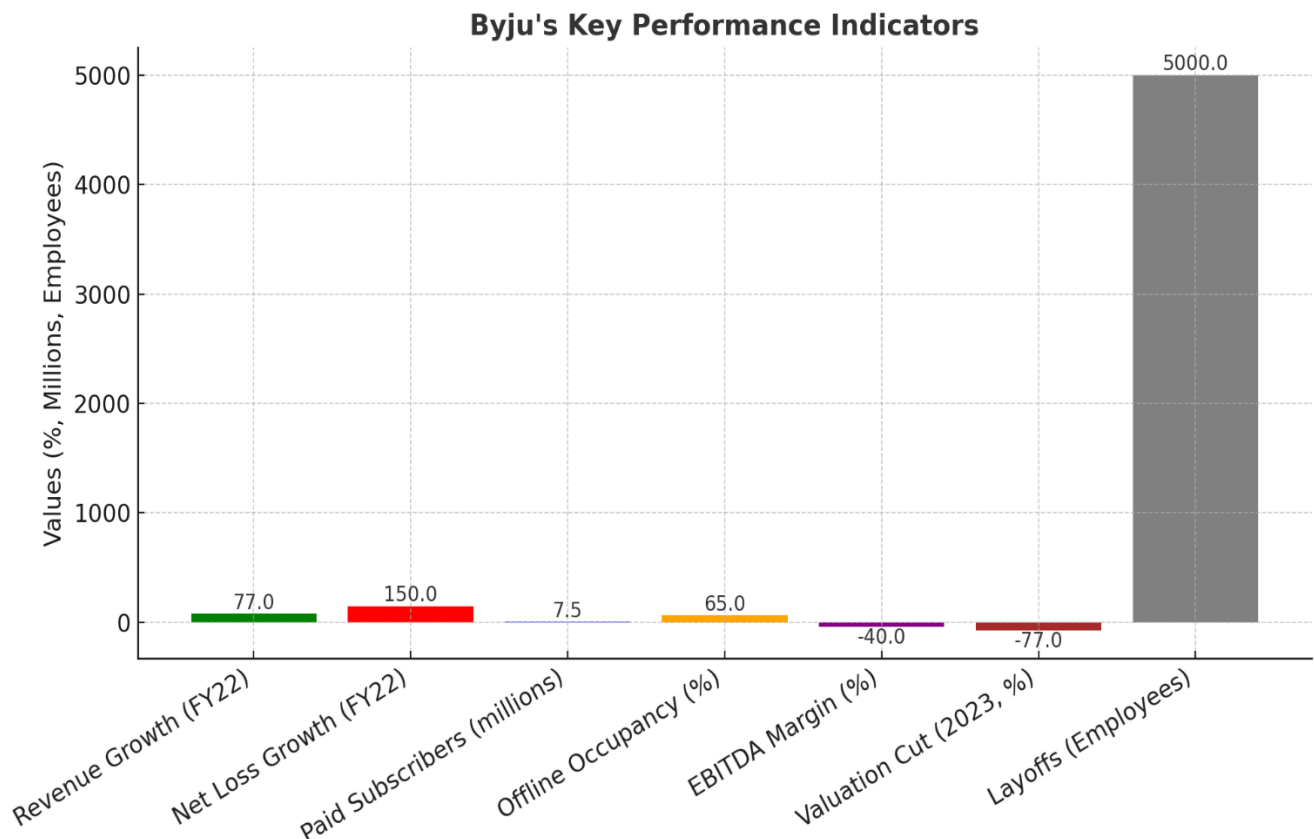


Byju's Operational Performance and Unit Economics

Byju's revenue in FY22 grew **~77% YoY**, but net losses expanded by **~150%**, crossing **₹4,500 crore**. Heavy spending on sales teams and acquisitions like **WhiteHat Jr** and **Aakash** increased costs.

- Paid subscriber base peaked at **7.5 million**, but churn rose as customer complaints grew.
- Occupancy of offline centers (via Aakash) improved to **65%**, but integration challenges persisted.
- EBITDA margins remained deeply negative at **-40%**, highlighting weak unit economics.

In 2023, investor BlackRock marked down Byju's valuation to **\$5 billion**, a **77% cut** from peak levels. Layoffs affected **5,000+ employees**, signaling a pivot from growth to survival.

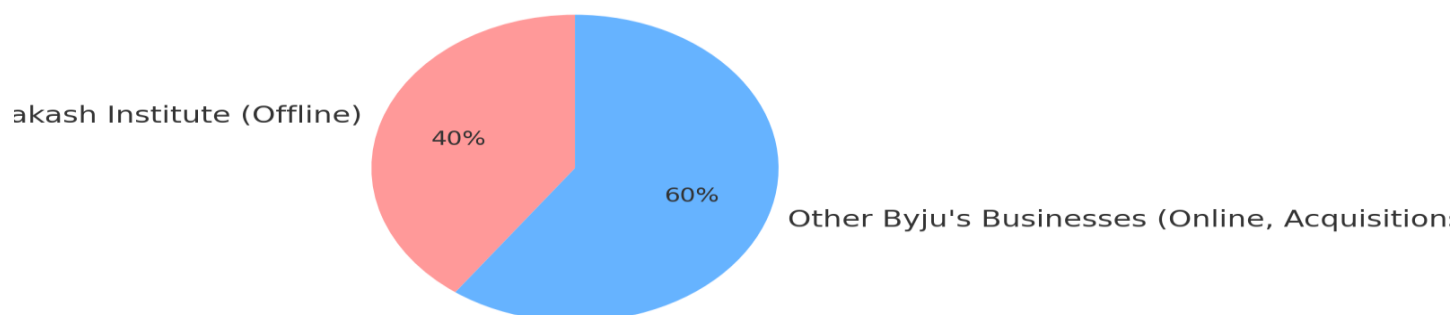


The Capital Efficiency, ROI, and Strategic Positioning

Byju's shifted its focus to **profitable growth** by cutting non-core assets, renegotiating debt, and prioritizing Aakash Institute. Aakash now contributes **~40% of Byju's revenue**, showing resilience in hybrid learning.

Despite challenges, Byju's retains a **150 million+ global user base**, but sustainable monetization and governance remain key hurdles. Restoring investor trust requires transparent reporting and sharper strategic execution.

Byju's Revenue Contribution (Approx.)



CONCLUSION

Future of Venture Capital

Byju's story reflects the **double-edged sword of VC funding**.

Venture capital drove growth at breakneck speed, but unchecked optimism and “growth at all costs” strategies inflated valuations unsustainably. As VC trends shift, investors now demand **profitability, governance, and accountability**.

Critical Reflection

Byju's fall highlights the dangers of **over-expansion, poor governance, and reliance on aggressive sales tactics**. Like WeWork, it shows how unchecked ambition can lead to collapse. VC firms must adopt a **responsible, long-term funding model** that balances growth with sustainability.

Impact on Innovation and the Economy

Despite its struggles, Byju's transformed India's edtech landscape, scaling access to quality education. Its rise boosted **digital adoption rates by 40% during COVID-19**, and inspired hundreds of edtech startups. The collapse, however, signals the need for **stronger governance and realistic growth strategies** to ensure innovation benefits both businesses and society.